

1 Non-current assets and identifying a lease



Section overview

- A contract for the right to use an asset is within the scope of IFRS 16 if it meets the definition of a lease contract.
- Under IFRS 16, a lessee should recognise a right-of-use asset and a corresponding lease liability for all leases (optional recognition exemptions apply for short term leases and leases for which the underlying asset is of low value).

1.1 Obtaining the right to use an asset

There are many different ways of obtaining the right to use an asset either for all or part of the asset's life; for example, you can buy a car outright, lease it for an agreed number of years or hire it for a short period of time. In each case, you are able to drive the car (you have the right to use the asset), but your rights over the car differ in each case.

As far as this chapter is concerned, in effect, an entity has two choices.

Buy the asset	An entity can buy an asset outright. In this case, the entity: • is legally the owner of the asset (ie, it has legal title to the asset); • has full control over how the asset is used until it is disposed of or retired; and • is exposed to all the risks and rewards of owning the asset. In the financial statements, the asset will be treated as a non-current asset. For relevant accounting issues, see Chapter 4. Of course, the entity might pay for the asset a couple of months later, on standard credit terms. This is then a simple credit purchase.
Lease the asset	If an entity leases an asset, it is paying another entity for the right to use that asset for an agreed period of time. It is the owner's (lessor's) property, but the entity (lessee) is getting the right to use it and access to the benefits from using it for the agreed period of time.

There are clear legal differences between owning and leasing an asset. However, many leasing arrangements transfer all the benefits and risks of owning an asset to the lessee for an agreed period. In such cases, simply accounting for the lease payments as an expense each month does not appropriately reflect the **substance** of the arrangement. In order to more accurately reflect the substance of such arrangements, IFRS 16 requires a lessee to recognise a non-current **right-of-use asset** representing its right to use the leased asset for a specified period and a **lease liability**, representing its obligation to make payments under the lease.

Note: The *Financial Accounting and Reporting* syllabus covers IFRS 16 from the perspective of the lessee only. You are not expected to account for leases from the lessors' perspective.

1.2 Lease contracts

An agreement **has to meet the definition of a lease contract** to be in the scope of IFRS 16.



Definitions

Lease: A contract, or part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time, in exchange for consideration.

Underlying asset: An asset that is the subject of a lease, for which the right to use that asset has been provided by a lessor to a lessee.

In a leasing transaction, there is a contract between the lessor and the lessee for the lease of an asset.

- The **lessor is owner** and supplier of the underlying asset.
- The **lessee** is the entity which **has the right to use** the underlying asset.

The lessor retains legal ownership but transfers to the lessee the right to use the asset for an agreed period of time in return for specified payments.



Definition

Right-of-use asset: An asset that represents a lessee's right to use an underlying asset for the lease term.

1.3 Identifying a lease

Under IFRS 16, a contract is deemed to contain a lease if it conveys the **right to control** the use of an **identified asset** for a **period of time**, in return for consideration (usually cash, although this purposely doesn't restrict the definition).

The **right to control** the use of the underlying asset depends on the lessee having both:

- the right to **obtain** substantially **all of the economic benefits from using the asset**; and
- the **right to direct the use** of the identified asset.

Identified asset

- The asset must be specified in the lease.
- It may be part of an asset (such as part of an office facility).
- If the lessor has the practical ability to substitute the asset for an equivalent during the lease, and would benefit economically from doing so (ie, they have a substantive substitution right), there is no identified asset and the contract is not a lease.

Period of time is either:

- a period of time, such as years; or
- the amount of use, based upon the production of the asset, such as number of units produced.

Right to obtain substantially all of the economic benefits

- This can be achieved through holding, using or **sub-leasing the asset**.
- It is assessed only within the parameters of the contract eg, a lease contract for a car may restrict its use to within one country, in which case only economic benefits within that country are considered.

Right to direct the use of the asset (control)

- The lessee can direct how and for what purpose the asset is used throughout the period of use.
- The assessment is unaffected by protective rights within the terms of the contract that are designed to protect the asset, eg, prohibiting a truck from being used to carry explosives.

Context example: Is it a lease?

Big Farm Ltd has three tractors under contract from Agrirental Ltd. The tractors are each leased for a period of five years, during which time Big Farm Ltd can use them for any purpose and keeps them on the farm. They cannot be retrieved by Agrirental Ltd (except in the case of default of payment). Agrirental Ltd will supply a replacement tractor if any of the three requires servicing or repair. The tractors are returned to Agrirental Ltd after five years.

Is this contract a lease within the scope of IFRS 16?

There are **identifiable assets** (the three tractors), and Big Farm Ltd has the **right to direct their use** for the period of the contract in order to obtain **substantially all economic benefits** from them.

Agrirental Ltd does not have the right to substitute or swap one of the tractors, it may only do so if a tractor requires a repair or servicing. Therefore, **the contract is classified as a lease** within the scope of IFRS 16.

Context example: Rental or lease?

Big Farm Ltd also has the use of two combine harvesters under contract from Agrirental Ltd. The contract agrees that Big Farm Ltd will have access to combine harvesters, however, Agrirental Ltd can decide on the brand and specific machine supplied to Big Farm Ltd. As harvesting is not a year-round activity, Agrirental Ltd retains the combine harvesters at its depot, but will supply them as requested within 24 hours.

Is this contract a lease within the scope of IFRS 16?

There are **no identifiable assets** (as the **brand and specific machine is not specified** and can be substituted by Agrirental Ltd), and although Big Farm Ltd has the **right to use** the machines for the period of the contract, Agrirental Ltd can decide upon the actual combine harvesters provided to Big Farm Ltd.

Therefore, the contract **is not classified as a lease** within the scope of IFRS 16, and the rental payments should be expensed to profit or loss.

1.4 Recognition exemptions

IFRS 16 provides **optional recognition exemptions** for:

- **Short-term leases** – applies to leases with a term of twelve months or less that do not contain a purchase option. The election to use the exemption for short-term leases must be made by asset class.
- **Leases for which the underlying asset is of low value** – applies to the lease of assets with a low value when new (such as laptop computers, mobile phones or small items of office furniture). IFRS 16 does not define a monetary amount that it considers low. An asset can only be of low value if:
 - The **lessee can benefit from using the underlying asset on its own or with other available resources**.

- The underlying asset is not highly dependent on or interrelated with other assets, for example, a circuit board costing CU200 but which is required to operate an item of plant worth CU40,000.

An entity can elect to apply the exemption relating to assets with a low value on a lease-by-lease basis.

If an entity elects to apply the optional recognition exemptions to a lease, then the lease payments are charged to profit or loss on a straight-line (or other systematic) basis over the lease term. No right-of-use asset or lease liability are recognised in relation to that lease.



Worked example: Short-term leases

Woody Ltd prepares its financial statements to 31 December each year. On 1 September 20X5, Woody Ltd entered into a lease contract for the right to use excavation equipment for a period of 10 months at a cost of CU5,000 per month. Under the terms of the contract, Woody Ltd is required to pay three months' lease payments on 1 September 20X5 followed by seven monthly payment of CU5,000 per month commencing 1 October 20X5. Woody Ltd does not have an option to purchase the equipment at the end of the contract and made all lease payments on time. Woody Ltd wishes to apply any optional recognition exemptions available under IFRS 16.

Requirement

Calculate the lease expense to be included in Woody Ltd's statement of profit or loss for the year ended 31 December 20X5.

Solution

As Woody Ltd wishes to apply the optional recognition exemption, it can account for the lease as an expense on a straight-line basis over the lease period.

The total amount payable under the lease is CU50,000 (CU5,000 per month $\times$ 10 months). Woody Ltd should recognise an expense of CU20,000 (CU50,000 $\times$ 4/10 months) to reflect the lease expense incurred in the period to 31 December 20X5.



Interactive question 1: Leases of low-value assets

Roper Ltd has entered into a lease agreement which grants it the right to use office furniture for a period of three years from 1 October 20X7. Under the terms of the agreement, Roper Ltd will pay nothing for the first six months followed by 30 payments of CU100 per month commencing 1 April 20X8. The office furniture meets the definition of an asset with a low value and Roper Ltd wishes to apply any optional recognition exemptions available under IFRS 16.

Requirement

Calculate the amount to be recognised in Roper Ltd's statement of profit or loss for the year ended 31 December 20X7 and in the statement of financial position as at that date.

See **Answer** at the end of this chapter.



Professional skills focus: Structuring problems and solutions

You may be asked to advise on whether the optional recognition exemptions can be applied to a given situation. This requires you to understand what the exemptions available under IFRS 16

are and then determine whether the lease described in a question meets the requirements. You should be particularly aware that the short-term lease exemption is made by the class of the asset, whereas the leases of low-value assets exemption is made on a lease-by-lease basis.

Interactive question 2: Is it a lease?

Explain whether each of the following arrangements contains a lease. If the arrangement contains a lease, determine whether the recognition exemptions in IFRS 16 can be applied.

- (a) Alpha Ltd enters into an agreement with IT Rental Ltd for the use of a laptop computer for its financial controller. The agreement is for a three-year period. During the three-year period, the financial controller can use the laptop in the office or at other locations required for her work. IT Rental Ltd **cannot substitute** the laptop for another during the three-year period.
- (b) Beta Ltd enters into a contract with IT Rental Ltd for the use of a photocopier for a four-year period. The photocopier will remain on Beta Ltd's site and will only be returned to IT Rental Ltd in the event of a major repair being required, in which case a substitution will be provided.
- (c) Gamma Ltd enters into a two-year contract with Cars4U Ltd to obtain the use of cars for its team of sales representatives. The cars are required to be estate models, but from time to time, where it is economically advantageous to do so, the cars may be substituted by Cars4U Ltd.
- (d) Delta Ltd enters into an agreement to use three architect's drawing desks (of a specified style and size) for a period of ten months in return for ten monthly payments. The desks cannot be substituted during the 10-month period. Delta Ltd already has four of these desks held under similar lease arrangements. Delta Ltd has not elected to apply the recognition exemption in IFRS 16 to the other desk leases.

See **Answer** at the end of this chapter.

2 Measurement



Section overview

- A lease liability is **initially recognised at the present value of future lease payments**.
- A lease liability is subsequently measured by applying the interest rate implicit in the lease and deducting lease payments made.
- A right-of-use asset is initially recognised at the amount of the lease liability, subject to adjustments for deposits and other payments in advance, incentives received for entering into the lease, and provisions for future obligations.
- A right-of-use asset is **subsequently depreciated and subject to impairment review**.

IFRS 16 requires a right-of-use asset and a lease liability to be recognised on commencement of the lease.

2.1 Initial measurement of the right-of-use asset

The right-of-use asset is initially measured at cost, which includes:

- ✓ • the amount of the initial measurement of the lease liability;
- ✓ • any lease payments made before the commencement date (deposits) and any lease payments made on the commencement date (advance payments) **less any lease incentives** received;
- ✓ • any initial direct costs incurred by the lessee related to the asset; and
- ✓ • an estimation of any **costs or penalties** to be incurred by the lessee which the lessee is obliged to incur at the end of the lease term, **such as dismantling costs or environmental clean up costs** (recognised as provisions in accordance with IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*).

Note: The *Financial Accounting and Reporting* exam may include incentives received before or on commencement of the lease (which are deducted when arriving at the initial carrying amount of the right-of-use asset) but will not include incentives that are receivable after commencement of the lease (which are accounted for when arriving at the initial carrying amount of the lease liability).

Worked example: Initial measurement of the right-of-use asset

Beta Ltd commenced a five-year lease for the right to use a new item of energy-efficient plant on 1 January 20X8. Beta Ltd has paid an initial deposit of CU800 and received incentives totalling CU250 on commencement of the lease. Beta Ltd is required to make payments annually in arrears and at the commencement date of the lease, the lease liability was measured at CU12,500. Beta Ltd has incurred legal costs of acquiring the lease of CU1,200. Beta Ltd has decided to promote that it has reduced its carbon footprint as a result of the lease of the new plant and has incurred costs of CU300 to have new promotional graphics created for social media marketing purposes.

At the end of the lease, Beta Ltd will have to pay CU750 (at present value) to remove the plant.

Requirement

What is the initial measurement of the right-of-use asset?

Solution

The right-of-use asset is initially measured as:

	CU
Lease liability (initial measurement)	12,500
Initial deposit	800
Direct costs	1,200
Present value of costs to remove the plant	750
Less: lease incentives	(250)
Right-of-use asset	15,000

Note: The costs of having promotional graphics created are not included as these costs are not directly attributable to the lease. **This is consistent with IAS 16 (para.19(b)), where marketing costs cannot be capitalised** as part of the non-current asset.

The journal entry to record the right-of-use asset is:

	CU	CU
DR Right-of-use asset (Non-current assets)	X	
CR Lease liability		X
CR Bank/payables		X

Note: The credit to bank/payables represents any deposits paid, any payments made on commencement of the lease, any direct costs incurred, and any cash incentives received.

2.2 Subsequent measurement of the right-of-use asset

Subsequently, the right-of-use asset will be **measured at cost less accumulated depreciation and impairment losses** in line with IAS 16, *Property, Plant and Equipment* and IAS 36, *Impairment of Assets*. If the right-of-use asset belongs to a class of assets to which the revaluation model is applied, the right-of-use asset **may also be revalued**.

Note: Note that if a right-of-use asset is revalued, it is the **fair value of the right of use** that is relevant, **not the fair value of the underlying asset**.

- ✓ The right-of-use asset should be **depreciated from the lease commencement date** to the **earlier** of the end of its useful life or the end of the lease term **unless** the asset is expected to be **transferred to the lessee at the end of the lease term**. In that case, the asset will be depreciated over the useful life of the asset.

Notes

- 1 In the *Financial Accounting and Reporting* exam, you should assume that ownership of the underlying asset does not transfer to the lessee, nor does the lessee have the option to purchase the underlying asset at the end of the lease term, unless the question explicitly states otherwise.
- 2 It is important to understand the difference between the **economic life** of an asset, the **useful life** of an asset and the **lease term**.
 - The **economic life** of an asset is defined in IFRS 16 as the period over which an asset is expected to be economically useable by one or more users, or the number of production or similar units expected to be obtained from an asset by one or more users.
 - The **useful life** of an asset is defined in IAS 16. It is the period over which an asset is expected to be available for use by an entity, or the number of production or similar units expected to be obtained from an asset by an entity. The useful life is influenced by the entity's plans, such as the expected levels of production or the replacement policy for assets.
 - The **lease term** is defined in IFRS 16 as the non-cancellable period of a lease, together with periods covered by an option to extend the lease if the lessee is reasonably certain to take up that option, and period covered by an option to terminate if the lessee is reasonably certain not to exercise that option.

Worked example: Subsequent measurement of the right-of-use asset

Taking the information from the previous example, Beta Ltd has estimated that the useful life of the plant will be four years. There is no option to purchase the plant at the end of the lease term.

Requirement

What is the carrying amount of the right-of-use asset at 31 December 20X8?

Solution

The right-of-use asset is initially measured at CU15,000

The depreciation period is the shorter of the useful life (four years) or the lease term (five years)

CU15,000/4 years = CU3,750 depreciation charge pa

The carrying amount of the right-of-use asset at 31 December 20X8 is CU11,250 (CU15,000 - CU3,750)

2.3 Initial measurement of the lease liability



Definition

Lease payments: Payments made by a lessee to a lessor relating to the right to use an underlying asset during the lease term.

At the commencement of the lease, the lease liability is measured at the **present value of future lease payments** (ie, those **not paid** before or on the commencement date of the lease), including any payments expected at the end of the lease.

The lease liability will include the following future lease payments:

- fixed payments, **less any lease incentives receivable**;
- variable lease payments that depend on an index (eg, the consumer price index) or rate (eg, market rental rates);
- amounts expected to be payable by the lessee under residual value guarantees;
- the exercise price of a purchase options (if reasonably certain to be exercised); and
- payments for penalties for early termination (if the lease term reflects the lessee exercising an option to terminate the lease).

The discount rate used is the interest rate implicit in the lease, or if this is not available, the lessee's incremental borrowing rate.

Note: **Variable payments that are not dependent** on an index or rate are recognised in the statement of profit or loss as they are incurred.



Context example: Variable payments

Chase Ltd entered into a lease contract under which it obtains the right to use a machine for four years. Under the contract, Chase Ltd must make payments of CU20,000 pa in arrears and is required to make an additional payment of CU50 per hour for every hour the machine is used in excess of 20,000 machine hours pa.

The CU20,000 payable pa is a fixed lease payment, which is included when calculating the present value of the future lease payments. The **CU50 per hour is a variable payment** that is not based on an index or rate and is therefore **recognised as an expense in the period** in which it is incurred.

Lease payments in arrears vs in advance

Lease payments can be made in arrears or in advance. Identifying whether lease payments are made in arrears or advance is important as it affects the calculation of the lease liability.



Context example: Initial measurement - Payments in arrears

Alpha Ltd has entered into a four-year lease which commenced on 1 January 20X8. Under the terms of the lease, Alpha Ltd is required to make payments of CU10,000 pa in arrears. The interest rate implicit in the lease is 10%. No additional payments have been made or are due under the terms of the lease. The present value of the future lease payments can be calculated as follows:

Year	CU
1 10,000/1.10	9,091
2 10,000/1.10 ²	8,264
3 10,000/1.10 ³	7,513
4 10,000/1.10 ⁴	6,830
Present value of future lease payments	31,698

Therefore, at 1 January 20X8, the amount initially recognised as a lease liability is CU31,698.



Interactive question 3: Initial measurement - payments in advance

Apple Ltd has a year end of 31 December. It entered into a contract for the lease of construction equipment which commenced on 1 January 20X1. Lease payments comprise three payments of CU10,000 annually, with the first payment due on 1 January 20X1. Legal fees of CU500 are incurred in arranging the lease.

The interest rate implicit in the lease is 10%.

Requirements

- 3.1 Calculate the initial lease liability on commencement of the lease.
- 3.2 What is the cost of the right-of-use asset on initial recognition?

See **Answer** at the end of this chapter.

2.4 Subsequent measurement of the lease liability

- In subsequent periods, the lease liability is measured by:
 - increasing the carrying amount to reflect interest on the lease liability (using the interest rate implicit in the lease); and
 - reducing the carrying amount to reflect lease payments made.
- Care needs to be taken as to whether payments are made in advance or in arrears.



Context example: Subsequent measurement

Continuing with Alpha Ltd from the previous example 'Initial measurement - payments in arrears', Alpha Ltd had calculated the initial lease liability to be CU31,698 on 1 January 20X8. In the year to 31 December 20X8, the interest cost and the lease payment made needs to be accounted for:

Year	CU
1 January 20X8: Lease liability (PVFLP)	31,698
31 December 20X8: Interest at 10%	3,170
31 December 20X8: Lease payment in arrears	(10,000)
Lease liability at 31 December 20X8	<u>24,868</u>

Notes

1 The journal entry to record the interest payment is:

	CU	CU
DR Finance costs (profit or loss)	3,170	
CR Lease liability		3,170

2 The journal entry to record the lease payment is:

	CU	CU
DR Lease liability	10,000	
CR Cash at bank		10,000



Worked example: Subsequent measurement - Payments in arrears

Apricot Ltd entered into a contract for the lease of machinery on 1 January 20X1. Under the terms of the contract, Apricot Ltd must make three annual payments of CU10,000 in arrears, commencing on 31 December 20X1. Apricot Ltd has assessed that the useful life of the machinery is three years.

Apricot Ltd received a lease incentive of CU1,000 prior to commencement of the lease. There is no transfer of the asset to Apricot Ltd at the end of the lease and no purchase option.

The rate of interest implicit in the lease is 10%. Apricot has a year end of 31 December.

Requirement

Calculate the finance cost and the carrying amount of the lease liability for each year of the lease.

Solution

The lease liability is initially measured at the present value of the future lease payments:

		CU
31 December 20X1	CU10,000/1.10	9,091
31 December 20X2	CU10,000/1.10 ²	8,264
31 December 20X3	CU10,000/1.10 ³	<u>7,513</u>
		<u>24,868</u>

Subsequently, the lease is measured as follows:

Year	Balance b/f (1 Jan)	Finance cost @ 10%	Lease payment	Balance c/f (31 Dec)
	CU	CU	CU	CU
20X1	24,868	2,487	(10,000)	17,355
20X2	17,355	1,735	(10,000)	9,090
20X3	9,090	909	(10,000)	0*
		<u>5,131</u>		

* rounding differences

Interactive question 4: Subsequent measurement - Payments in advance

Continuing Interactive question 2, lease payments comprise three payments of CU10,000 annually in advance, with the first payment due on 1 January 20X1. The initial lease liability is CU17,355 and the rate of interest implicit in the lease is 10%.

Requirement

Calculate the finance cost and the closing lease liability for each year of the lease. See **Answer** at the end of this chapter.

Professional skills focus: Assimilating and using information

You need to read the information given in an exam question very carefully in order to determine whether lease payments are made in arrears or in advance. It makes a significant difference to the calculation of the initial lease liability and of interest in subsequent periods. Ensure you are comfortable working with payments in arrears and advance.

3 Presentation and disclosure

Section overview

- **Right-of-use assets** are presented within **non-current assets**.
- **Lease liabilities** are presented within liabilities and are analysed into **current and non-current elements**.
- IFRS 16 requires disclosures relating to leases in the notes to the financial statements.

3.1 Presentation

Right-of-use assets should be presented within non-current assets in the statement of financial position. They may be **presented as a separate line item within non-current assets** on the face of the statement of financial position, or they may be included within property, plant and equipment as part of the total of the relevant class of assets, with the carrying amount of right-of-use assets disclosed in the notes to the financial statements.

Lease liabilities should be presented within liabilities in the statement of financial position. In accordance with IAS 1, *Presentation of Financial Statements*, lease liabilities should be analysed between non-current and current liabilities.

Interactive question 5: Presentation – Payments in arrears

Using the facts from the Worked example: Subsequent measurement – payments in arrears, show the current and non-current portions of the lease liability at the end of 20X1.

Complete the current/non-current split proforma below.

	Lease liability			
	Balance b/f	Finance cost @ 10%	Payment	Balance c/f
	CU	CU	CU	CU
20X1 (current period)	24,868	2,487	(10,000)	17,355
20X2 (future periods)	17,355	1,735	(10,000)	9,090

Current/Non-current split:

	CU
Total lease liability at 31 December 20X1	
Non-currently liability	
Current liability	

See **Answer** at the end of this chapter.

3.2 Disclosure

The following information should be disclosed in the notes to the financial statements.

Non-current assets

- the carrying amount of right-of-use assets, by class of underlying asset, if this is not given on-the- face-of the statement of financial position;
- depreciation charge for right-of-use assets;
- additions to right-of-use assets;
- carrying amount of right-of-use assets at the end of the reporting period by class of underlying asset;
- gains/losses resulting from any sale and leaseback transactions (see section 5).

Liabilities

- finance cost on lease liabilities

Other disclosures

- expenses relating to short-term and low-value leases
- total cash outflow for leases
- the entity's accounting policy in respect of leases, if classified as a significant accounting policy under IAS 1



Interactive question 6: Summer Ltd

Summer Ltd leases an asset on 1 January 20X1. Under the terms of the lease, Summer Ltd is required to pay a non-refundable deposit of CU575 followed by seven annual instalments of CU2,000 payable in arrears. The asset is expected to have a useful life of seven years.

On initial recognition, the present value of the future lease payments is CU11,164. There is no option to purchase the asset at the end of the lease term.

Requirements

- 6.1 Calculate the carrying amount of the lease liability and of the right-of-use asset at 31 December 20X1 and 31 December 20X2.

The interest rate implicit in the lease is 6%. (Round your answers to the nearest CU1)

- 6.2 Calculate the current and non-current components of the lease liability at 31 December 20X1.

See **Answer** at the end of this chapter.

4 Sale and leaseback transactions



Section overview

- A sale and leaseback transaction involves the 'sale' of an asset and the immediate leasing back of the same asset.
- The treatment of a sale and leaseback transaction **depends on** whether the transfer of the asset is a sale as **defined by IFRS 15**, *Revenue from Contracts with Customers*.

4.1 Introduction

Companies can raise finance in a number of different ways. These include short-term measures such as a bank overdraft, medium-term measures such as loans and longer-term measures including secured loans.

Another option is to enter into a **sale and leaseback transaction**. This is a common feature of certain industries, including retailing and hotels, both of which typically have high value assets in the form of properties. It involves **the legal owner of the asset selling it**, typically to a finance house or bank, **and immediately leasing it back**, thereby raising cash and retaining the right to use the asset. The seller of the asset then becomes a lessee. Such arrangements provide entities with the opportunity to release capital caught up in the business for investment in other opportunities or to return it to shareholders. In essence, an entity acquires cash in exchange for a commitment to make regular lease payments without losing use of the asset.

Under IFRS 16, the key initial assessment is whether or not the **transfer of the asset constitutes a genuine sale**. For this to be the case, the requirements of IFRS 15, *Revenue from Contracts with Customers* for determining when a **performance obligation is satisfied must be met**.

4.2 Transfer is a sale

If the transfer of the asset constitutes a sale in accordance with IFRS 15, the seller/lessee should:

- derecognise the asset transferred;
- recognise a right-of-use asset representing the right of use of the asset that it retains;

- recognise a lease liability in respect of its obligations under the lease; and
- recognise a gain on the rights transferred to the buyer/lessor.

Right-of-use asset representing the right of use retained

The seller/lessee measures the **right-of-use asset arising from the leaseback** as a proportion of the carrying amount of the asset immediately prior to the sale that relates to the right of use retained by the seller/lessee. This is calculated as:

$$\text{Carrying amount} \times \frac{\text{PV of future lease payments at transfer date}}{\text{Fair value of asset at transfer date}}$$

Gain on the rights transferred to the buyer

The seller/lessee only recognises the **amount of any gain or loss** on the sale that relates to the **rights transferred to the buyer**.

The **gain relating to the rights transferred** is calculated as:

Gain on rights transferred = total gain (W1) - gain on rights retained (W2) WORKINGS

(1) Total gain on the sale

	CU
Fair value of the asset at the transfer date	X
Less: carrying amount	(X)
Total gain/(loss) on the sale	<u>X/(X)</u>

(2) Gain on rights retained

$$\text{Gain} \times \frac{\text{PV of future lease payments}}{\text{Fair value of asset at transfer date}} = \text{Gain related to rights retained}$$

Notes

- 1 The right-of-use asset arising from the leaseback should be depreciated as normal. There may be a revision to the expected useful life of the asset.
- 2 In *Financial Accounting and Reporting*, the fair value of the asset at the date of transfer will always be equal to the consideration received from the purchaser/lessor. Situations where the consideration is above or below fair value will be covered at the Advanced Level.
- 3 In *Financial Accounting and Reporting*, sale and leaseback transactions will only include leases with payments made in arrears.
- 4 The purchaser/lessor accounting is not covered here as it is outside of the *Financial Accounting and Reporting* syllabus.

Interactive question 7: Sale and leaseback (transfer is a sale)

On 1 January 20X1, Frayn plc entered into a contract with a financial institution in which it sold an asset and immediately leased it back again, retaining the right to use the asset. The transfer of the asset constituted a sale under IFRS 15 and the sale proceeds received of CU120,000 were equivalent to the fair value of the asset. At the transaction date:

- The carrying amount of the asset was CU70,000.
- The remaining useful life of the asset was four years.

Under the terms of the lease, Frayn plc was required to make five annual rentals of CU25,000 payable in arrears on 31 December of each year. The interest rate implicit in the lease was 5% and the present value of the future lease payments at the commencement of the lease was CU108,225.

Requirements

- 7.1 Prepare the journal entries to record the sale and leaseback on 1 January 20X1.
- 7.2 Calculate the amounts to be recognised in profit or loss in the year to 31 December 20X1 and in the statement of financial position at that date.

See **Answer** at the end of this chapter.

4.3 Transfer is not a sale

If the transfer does not constitute a sale under IFRS 15, *Revenue from Contracts with Customers*, then the transaction is accounted for as a secured loan. The seller/lessee should continue to recognise the asset and should also recognise a financial liability equal to the transfer proceeds, accounting for it using IFRS 9, *Financial Instruments*.



Professional skills focus: Applying judgement

A professional accountant must apply judgement in determining whether a sale and leaseback transaction constitutes a sale under IFRS 15. This can be a difficult area that requires an understanding of IFRS 15 and IFRS 16, which are both complex accounting standards. Whether the transaction constitutes a sale has a significant impact on the financial statements and whether they faithfully represent the underlying transaction.

5 Ethical and judgement issues



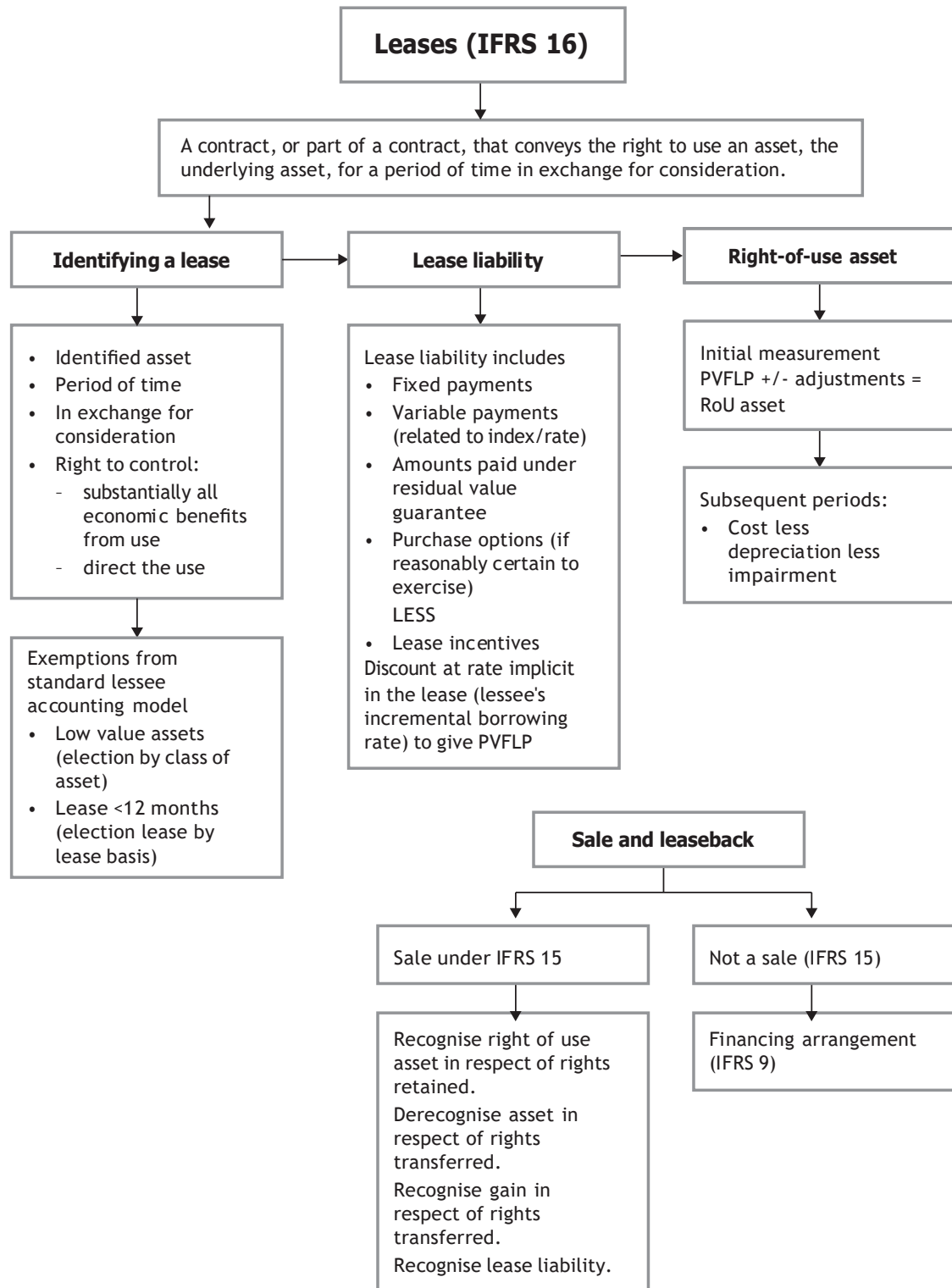
Section overview

A professional accountant may come under pressure from management to report a sale and leaseback as an outright sale and to recognise the full amount of any profit on that 'sale'.

Sale and leaseback transactions require an accountant to apply judgement to determine whether the transaction does or does not constitute a sale, which in turn determines how the transaction should be accounted for. It is an area in which you might expect to see errors in the accounting treatment applied.

The errors may be due to a genuine misunderstanding of the requirements of the standard, in which case the professional competence and due care of the preparer should be called into question. The error may, however, be due to a deliberate attempt to manipulate the financial statements by treating the transaction as a standard sale and therefore recognising any gain on the sale in profit or loss for the period. This may arise when a director has an incentive to overstate profits for the year, perhaps because a bonus is payable if a certain profit target is met. Such deliberate errors suggest that the integrity and objectivity of the preparer may be impaired.

Summary



Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Do you know what conditions need to be satisfied for a contract to contain a lease? (Topic 1)
2.	What are the optional recognition exemptions available under IFRS 16? (Topic 1)
3.	What is included in the initial measurement of a right-of-use asset? (Topic 2)
4.	Can you account for a lease liability when payments are made in arrears? What about if they are in advance? (Topic 2)
5.	Can you calculate the current and non-current elements of a lease liability? (Topic 3)
6.	Do you understand how to calculate the gain recognised in a sale and leaseback transaction which constitutes a sale under IFRS 15? (Topic 4)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Iced Co	This is a good question to test your understanding of the subsequent measurement of both right-of-use assets and lease liabilities. It focuses on the amounts recognised in the statement of profit or loss, so the calculation of finance cost and depreciation are important.
Pont Ltd	This is a question that tests your understanding of the initial and subsequent measurement of right-of-use assets and lease liabilities. Payments are in advance, which you may find more difficult to account for than payments in arrears.
Snow plc	A reasonably challenging question covering sale and leaseback. This question will give you good practice of calculating the right-of-use asset and the gain that can be recognised.
Frazzled plc	A great all-round question that tests most of the points covered in this chapter.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Chedington Ltd	This is an accounts preparation question which includes a sale and leaseback transaction, which is one of the more difficult elements when accounting for leases. You should be able to attempt most of the adjustments from the chapters you have studied so far in <i>Financial Accounting and Reporting</i> and by applying your assumed knowledge.
Helier Ltd	This question includes the optional recognition exemption and the initial and subsequent measurement of a lease of land and buildings and asks you to explain IFRS 16 by reference to the <i>Conceptual Framework</i> . It is a good example of how leases can be asked in several different ways within a single question.
Bainsford plc (issue 2 only)	This question includes a sale and leaseback that has not been accounted for correctly. As well as calculating the revised balances and revised profit for the year after adjusting for the errors, you are also asked to discuss the potential ethical issues arising in the scenario.
MilloMops Ltd (issue 1 only)	This question asks you to explain the impact of a sale and leaseback agreement on single entity and consolidated financial statements. Sale and leaseback can be a challenging concept and explaining how the arrangement should be accounted for will provide a good test of your understanding of the required accounting treatment.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical reference

Note: The following aspects of IFRS 16 are not examinable: lessor accounting (paragraphs 61-97), temporary exception arising from interest rate benchmark reform (paragraphs 104-106) and the implementation guidance. The paragraphs listed below are the key references you should be familiar with.

1 Recognition exemptions

- A lessee might elect not to apply the requirements to: short term leases and leases for which the underlying asset is of low value – **IFRS 16 (5)**
- If a lessee elects not to apply the requirements to short term leases or leases for which the underlying asset is of low value, lease payments shall be recognised as an expense over the lease term – **IFRS 16 (6)**

2 Identification of a lease

- An assessment of whether the contract contains a lease by considering the following elements:
 - **IFRS 16 (9)**
 - A right to control an asset – **IFRS 16 (Appendix A)**
 - Use of an identified asset – **IFRS 16 (Appendix A)**
 - Use for a period of time in exchange for consideration – **IFRS 16 (10)**
 - Costs which can be capitalised – **IFRS 16 (24)**
- At the commencement date, the lessee shall recognise a 'right-of-use' asset – **IFRS 16 (23)**

3 Measurement

- Initial measurement (cost) of the right-of-use asset includes – **IFRS 16 (24)**
 - Initial measurement of the lease liability – **IFRS 16 (26))**
 - Lease payments made before the commencement date, less any lease incentives received
 - Any initial direct costs incurred by the lessee
 - Estimate of costs required to dismantle and remove the asset at the end of the lease term to be incurred by the lessee
- Initial measurement of the lease liability includes the present value of lease payments not paid at commencement date, discounted at the interest rate implicit in the lease – **IFRS 16 (26)**
- A lessee shall subsequently measure the right-of-use asset under the cost model unless it applies an alternative measurement mode – **IFRS 16 (29)**
- To apply the cost model, an entity shall measure a right-of-use asset at cost less accumulated depreciation and impairment losses – **IFRS 16 (30)**
- Depreciate asset over its useful life, or the lease term if shorter, and not reasonable certainty that lessee will obtain ownership at end of lease – **IFRS 16 (32)**
- Consider whether IAS 36 impairment procedures needed – **IFRS 16 (33)**
- The lease liability shall be subsequently measured by increasing the carrying amount to reflect effective interest and reducing the carrying amount by payments made – **IFRS 16 (36)**

4 Presentation and disclosure

- An entity shall present, or disclose in the notes, right-of-use assets separately from other assets – **IFRS 16 (47)**
- Disclose information about the leases either in a single note or in a separate section of the financial statements – **IFRS 16 (52)**
- Disclosure is required of the following: – **IFRS 16 (53)**
 - Depreciation charge for the right-of-use assets – **IFRS 16 (53)(a)**
 - Interest expense on lease liabilities – **IFRS 16 (53)(b)**
 - Additions to right-of-use assets – **IFRS 16 (53)(h)**
 - Gains or loss arising from sale and leaseback transactions – **IFRS 16 (53)(i)**
 - Carrying amount of right-of-use assets at the end of the reporting period by class of underlying asset – **IFRS 16 (53)(j)**
 - Details of leases of low-value assets and short-term leases – **IFRS 16 (53)(c)(d)**

5 Sale and leaseback transactions

- An entity needs to determine if the transaction constitutes a sale under IFRS 15 – **IFRS 16 (99)**
- If a transfer does constitute a sale: measure the right-of-use asset at the proportion of the previous carrying amount relating to rights retained, and recognise the gain or loss based on rights transferred – **IFRS 16 (100)**
- If a transfer does not constitute a sale: continue to recognise the transferred asset and recognise a financial liability equal to the transfer proceeds – **IFRS 16 (103)**

Self-test questions

Answer the following questions.

1 IFRS 16

Mocha Ltd entered into a lease arrangement for the right to use a new voice over internet protocol (VoIP) telephone system for its remote workers. The details were as follows.

Lease commencement date	1 January 20X1
Present value of future lease payments at commencement	CU7,210
Annual lease payments in arrears	CU2,000
Interest rate implicit in the lease	12% pa

There is no option to purchase the VoIP telephone system at the end of the lease.

Requirement

In accordance with IFRS 16, *Leases* what is the total lease liability at 31 December 20X2?

Round your answer to the nearest CU1.

2 Sam plc

Sam plc acquired the right to use a machine under a five-year lease arrangement. The terms of the lease are as follows.

Date of commencement	1 July 20X6
Present value of future lease payments at commencement	CU24,300
Deposit paid on commencement	CU8,000
Remaining annual lease payments (in advance)	4 @ CU8,000
Interest rate implicit in the lease	12%

Sam plc expects to use the machine for a total of four years. There is no option to purchase the machine at the end of the lease.

Requirement

What is the carrying amount of the right-of-use asset as at 30 June 20X7 in accordance with IFRS 16, *Leases*?

3 Iced Ltd

Iced Ltd acquired the right to use an item of plant under a lease agreement on 1 January 20X7. The present value of the future lease payments at the commencement date was CU7,731,000 and three lease payments of CU3 million pa are due to be paid in arrears on 31 December each year.

The useful life of the plant is deemed to be two years by Iced Ltd. There is no option to buy the asset at the end of the lease term.

The interest rate implicit in the lease is 8% pa.

Requirement

What is the total amount charged to the statement of profit or loss in respect of this lease for the year ended 31 December 20X7?

4 Alpha plc

Alpha plc enters into a lease with Omega Ltd for the right to use a machine over a 10-year period.

The terms of lease require Alpha plc to make 10 annual lease payments of CU36,000 in arrears.

Alpha plc has an option to buy the machine on the final date of the lease for CU25,000 (present value of CU13,950), which Alpha plc is expected to exercise.

The present value of the future lease payments at the commencement of the lease, including the present value of the option to buy, is CU278,920 and the interest rate implicit in the lease is 6%.

The useful life of the machine as assessed by Alpha plc is 15 years.

Requirements

Calculate the following amounts:

- (a) The carrying amount of the right-of-use asset at 31 December 20X1.
- (b) The lease liability at 31 December 20X1.

5 Cambridge plc

Cambridge plc obtains the right to use an asset on a five-year lease. Cambridge plc has assessed that the useful life of the asset is also five years. Under the terms of the lease, Cambridge plc will be required to make payments of CU120,000 pa in arrears. The interest rate implicit in the lease is 8%.

Cambridge plc paid a deposit of CU10,000 prior to the commencement of the lease and incurred legal fees of CU5,000 to arrange the lease.

Requirement

At what amount will the right-of-use asset be recognised in the statement of financial position of Cambridge plc at the commencement of the lease?

6 Pont Ltd

Pont Ltd enters into a lease on 1 January 20X6 for the right to use a building for a period of 10 years. Pont Ltd incurred the following costs in respect of the lease:

- CU2,500 legal fees
- CU15,000 deposit made at the commencement date of 1 January 20X6

A lease incentive of CU5,000 was received by Pont Ltd from the building's owners on commencement of the lease, as the building had remained vacant for a period prior to Pont Ltd taking on the lease.

Payments of the lease are CU125,000 pa in advance, with the first payment commencing on 1 January 20X6. The interest rate implicit in the lease is 3%, and the present value of the future lease payments is CU973,263.

There is no option to purchase the building at the end of the lease.

Requirements

- 6.1 What is the carrying amount of the right-of-use asset at 31 December 20X6?
- 6.2 What is the lease liability at 31 December 20X6?

7 Snow plc

On 1 January 20X1 Snow plc entered into the following transactions.

(1) Lease of snow machine

A lease arrangement for the right to use a snow machine for five years commencing on 1 January 20X1. The snow machine is also estimated to have a useful life to Snow plc of five years.

Under the terms of the lease, Snow plc is required to make five annual payments of CU35,000, payable in arrears, with the first payment due on 31 December 20X1. At 1 January 20X1, the present value of the future lease payments was CU151,531. There is no option to purchase the machine at the end of the lease. Lease incentives of CU3,000 were received by Snow plc on commencement of the lease.

The interest rate implicit in the lease is 5%.

(2) Sale and leaseback

Snow plc has agreed to sell its warehouse to Slush plc on 1 January 20X1 for CU6 million. Slush plc is to immediately lease the warehouse back to Snow plc for a term of 10 years.

The carrying amount of the warehouse in Snow plc's accounts on the date of the sale was CU5.2 million, and its fair value was CU6 million.

At the commencement date of the lease, the present value of the future lease payments was calculated to be CU4.2 million, with the remaining useful life of the warehouse assessed as being 10 years by Snow plc.

The transaction constitutes a sale in accordance with IFRS 15.

Requirements

- 7.1 Calculate the lease liability and the carrying amount of the right-of-use asset at 31 December 20X1.
- 7.2 What is the initial measurement of the right-of-use asset in respect of the sale and leaseback transaction?
- 7.3 What is the gain or loss that should be recognised on 1 January 20X1 in the financial statements of Snow plc?

8 Feeney plc

Feeney plc leases a number of assets and has some queries regarding IFRS 16, *Leases*.

Requirements

- 8.1 Explain the extent to which IFRS 16, *Leases* provides information that is relevant, understandable and a faithful representation of that which it purports to represent.
- 8.2 IFRS 16 states that a lease is 'a contract, or part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time in exchange for consideration' (Appendix A).

Explain this statement, including within your answer the key elements for determining whether a contract contains a lease.

9 Frazzled plc

Frazzled plc is preparing its financial statements for the year ended 30 September 20X6. It has entered into the following arrangements:

- (1) A lease which grants the right to use a delivery truck commencing on 1 October 20X5. Frazzled plc has assessed that the truck has a ten-year useful life. The interest rate implicit in the lease is 6%. Frazzled plc will make lease payments of CU18,000 annually in arrears for five years. The first payment was made on 30 September 20X6. There is an option to purchase the truck at the end of the lease for CU10,000 (the value discounted at 6% in five years is CU7,470). Frazzled plc is expected to take up the purchase option. The present value of the future lease payment, including the present value of the purchase option, is CU83,286.
- (2) A lease which grants the right to use a crane for a three-year period commencing 1 October 20X5. Frazzled plc has determined that the useful life of the crane is also three years. Under the terms of the lease agreement, Frazzled plc pays CU270,000 annually in advance. The first instalment was paid on 1 October 20X5 and Frazzled plc received an incentive of CU17,500 on commencement of the lease. The interest rate implicit in the lease is 8%. There is no option to buy the asset at the end of the lease term.
- (3) A building which Frazzled plc sold to a finance house on 1 October 20X5 and then immediately leased back. The sale met the criteria for a sale under IFRS 15.
 - The carrying amount of the building at the date of sale was CU2,800,000.
 - Sale proceeds were CU4,000,000, which was equal to the estimated fair value.
 - The useful life of the building was 15 years as assessed by Frazzled plc.
 - The present value of future lease payments at commencement was CU3,504,680.Company policy is to apportion depreciation monthly.
- (4) Frazzled plc regularly leases laptop computers for its employees; the price of a laptop when new is CU500. The financial controller of Frazzled plc has said to you: "what a hassle, do we have to apply IFRS 16 accounting to all these laptops too?"

Requirements

- 9.1 Calculate the amounts which should be shown under non-current assets and non-current liabilities at 30 September 20X6 in respect of the delivery truck.
- 9.2 Calculate the carrying amount of the right-of-use asset in respect of the crane at 30 September 20X6.
- 9.3 What is the gain that will be recognised in profit or loss in respect of the sale and leaseback of the building?
- 9.4 Write a brief note explaining the recognition exemption that Frazzled plc may elect to use regarding the laptop leases.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

As Roper Ltd wishes to apply the optional recognition exemption, it can account for the lease of the office furniture as an expense on a straight-line basis over the period of the lease.

The total amount payable under the lease is CU3,000 ($\text{CU}100 \times 30$ months). Roper Ltd should account for CU250 ($\text{CU}3,000 \times 3/36$ months) in the three-month period to 31 December 20X7.

As Roper Ltd is not due to make any payments until 1 April 20X8, the amount is accrued and should be presented as a current liability in the statement of financial position at 31 December 20X8.

Answer to Interactive question 2

(a) Alpha Ltd has a lease in the scope of IFRS 16 because:

- there is an identified asset (the laptop) which cannot be substituted during the lease term; and
- Alpha Ltd has the right to direct the use of the laptop during the lease term (the financial controller can use the laptop as and where required for her work).

As the laptop is a low value item, Alpha Ltd may elect to apply the recognition exemption in IFRS 16, in which case, the payments associated with the lease should be recognised on a straight-line basis over the lease term.

- (b) Beta Ltd has a lease. The arrangement involves an identified asset (photocopier) which the customer has the right to direct the use of. IT Rental Ltd does not have a right to substitute the photocopier for another, except where major repairs are required. IT Rental Ltd does not therefore have substantive substitution rights. The lease is not short term and the underlying asset is not of low value, therefore the recognition exemptions in IFRS 16 cannot be applied.
- (c) Gamma Ltd does not have a lease: the contract is not for identified assets, as Cars4U Ltd has substantive substitution rights over the cars provided.
- (d) Delta Ltd has a lease as the assets are identified (three desks of a specified style and size) which cannot be substituted during the lease term. As the lease is for less than 12 months, it would qualify for the recognition exemption in IFRS 16. However, in order to apply the recognition exemption to short-term leases, Delta Ltd must make the election for the whole class of assets (ie, all architects desks), and this has not been done, so the recognition exemption cannot be applied.

Answer to Interactive question 3

3.1 The lease liability is measured at the present value of the **future** lease payments. As lease payments are made in advance (the first payment is made on commencement of the lease), only the payments made in 20X2 and 20X3 are included in the calculation of the initial lease liability.

		CU
1 January 20X2	CU10,000/1.10	9,091
1 January 20X3	CU10,000/1.10 ₂	8,264
Present value of future lease payments		<u>17,355</u>

3.2 The cost of the right-of-use asset is calculated as the initial lease liability plus the CU10,000 paid on the commencement date plus the directly attributable legal fees.

	CU
Initial measurement of the lease liability	17,355
Payment on commencement of the lease	10,000
Direct costs	500
Initial cost of the right-of-use asset	<u>27,855</u>

Answer to Interactive question 4

Lease liability Year	Balance b/f CU	Payment CU	Capital balance remaining CU	Finance cost (10%) CU	Balance c/f CU
20X1	17,355	-	17,355	1,736	19,091
20X2	19,091	(10,000)	9,091	909	10,000
20X3	10,000	(10,000)	-		-
		<u>20,000</u>		<u>2,645</u>	

Note: There is no payment shown for 20X1 in the table above as payments are made in advance. The opening lease liability of CU17,355 is the present value of future lease payments and therefore does not include the payment made on 1 January 20X1.

Answer to Interactive question 5

Current/Non-current split:

	CU
Total lease liability at 31 December 20X1	17,355
Non-currently liability	9,090
Current liability (17,355 - 9,090)	8,265

Answer to Interactive question 6

6.1 Initial measurement of the lease liability

The lease liability is initially measured at the present value of the future lease payments, which is CU11,164.

Subsequent measurement of the lease liability

The lease liability is subsequently measured by increasing the carrying amount by adding interest (calculated at the rate of interest implicit in the lease (6%)) and reducing the carrying amount by the annual lease payment. The balance c/f in the table below is the carrying amount of the lease liability at each year end.

	Balance b/f	Finance cost at 6%	Lease payment	Balance c/f
	CU	CU	CU	CU
20X1	11,164	670	(2,000)	9,834
20X2	9,834	590	(2,000)	8,424

Initial measurement of the right-of-use asset

	CU
Lease liability (initial measurement)	11,164
Deposit	<u>575</u>
	<u>11,739</u>

Subsequent measurement of the right-of-use asset

Depreciate the asset over seven years

CU11,739/7 years = CU1,677 pa

Carrying amount at 31 December 20X1: CU11,739 - CU1,677 =

CU10,062 Carrying amount at 31 December 20X2: CU10,062 -

CU1,677 = CU8,385

6.2 At 31 December 20X1

	CU
Total lease liability at 31 December 20X1	9,834
Lease liability payable > 1 year	8,424
Lease liability payables < 1 year (β)	<u>1,410</u>

Answer to Interactive question 7

7.1 Journal entries to record the sale and leaseback

	CU	CU
DR Cash	120,000	
CR Non-current asset (carrying amount)		70,000
CR Gain on rights transferred (W2)		4,906
DR Right-of-use asset (W1)	63,131	
CR Lease liability (PVFLP)		108,225

WORKINGS

(1) Right-of-use asset

Right-of-use asset = carrying amount $\times$ PVFLP/FV = CU70,000 $\times$ CU108,225/CU120,000
=CU63,131

(2) Gain on rights transferred

(1) Calculate the total gain on the sale:

Fair value - carrying amount = CU120,000 - CU70,000 = CU50,000

(2) Calculate the gain relating to the rights retained by the seller/lessee:

Gain $\times$ PVFLP/fair value = CU50,000 $\times$ CU108,225/CU120,000 = CU45,094

(3) Calculate the gain relating to the rights transferred:

Total gain (1) - Gain relating to the rights retained (2) = CU50,000 - CU45,094 = CU4,906

7.2 Statement of profit or loss

	CU
Depreciation (63,131 (part (a)) /4 years)	(15,783)
Interest (W1)	(5,411)

Statement of financial position

	CU
Non-current assets	
Carrying amount at 1 January 20X1 (part (a))	63,131
Depreciation (per SPL)	(15,783)
Carrying amount at 31 December 20X1	47,348
Non-current liabilities	
Lease liability (W1)	68,068
Current liabilities	
Lease liability (W1)	20,568

WORKING

Lease liability

	Balance 5% CU	Finance cost at CU	Lease payment CU	Balance CU
20X1	108,225	5,411	(25,000)	88,636
20X2	88,636	4,432	(25,000)	68,068

Therefore, current liabilities (<12 months) at 31.12.X1 are CU88,636 - CU68,068 = CU20,568, of which CU4,432 is the finance cost (interest payable).

Answers to Self-test questions

1 IFRS 16

Liability at 31.12.X2 is CU4,804

Date	B/f CU	Interest 12% CU	Payment CU	C/f CU
31.12.X1	7,210	865	(2,000)	6,075
31.12.X2	6,075	729	(2,000)	4,804

2 Sam plc

The carrying amount of the machine is CU24,225

	CU
Lease liability (PVFLP)	24,300
Deposit payment	<u>8,000</u>
Right-of-use asset	<u>32,300</u>

Depreciate the machine over the shorter of the lease term (five years) and the useful life (four years) Depreciation charge for the year $\text{CU}32,300/4 = \text{CU}8,075$

The carrying amount of the machine at 30 June 20X7 is therefore CU24,225 (CU32,300 - CU8,075)

3 Iced Ltd

	CU
Initial liability (PV of future lease payments)	7,731,000
Interest 8% ($\text{CU}7,731,000 \times 8\%$)	618,480
Payment	<u>(3,000,000)</u>
Total lease liability at 31.12.X8	<u>5,349,480</u>

Depreciation is charged based on the shorter of the lease term (three years) and the useful life (two years) as there is no option to purchase the asset the end of the lease period.

	CU
Right-of-use asset	7,731,000
Depreciation charge $7,731,000/2$	<u>(3,865,500)</u>
Carrying amount	3,865,500

Charge to the statement of profit or loss is CU618,480 (finance cost) + CU3,865,500 (depreciation) = CU4,483,980

4 Alpha plc

(a) Carrying amount of right-of-use asset at 31 December 20X1

	CU
Right-of-use asset at 1 January 20X1	278,920
Less Depreciation (W1)	(18,595)
Carrying amount at 31 December 20X1	<u>260,325</u>

WORKING

Depreciation

Depreciation charge = 278,920/15 years = CU18,595 pa

The asset is depreciated over its useful life of 15 years as there is an option to purchase the asset which Alpha plc is expected to exercise.

(b) Lease liability at 31 December 20X1

	CU
Initial measurement of lease liability	278,920
Interest at 6%	16,735
Less payment	(36,000)
Lease liability at 31 December 20X1	<u>259,655</u>

5 Cambridge plc

The asset will be recognised at cost which comprises the initial lease liability (PVFLP), plus the deposit paid plus the direct costs of arranging the lease. The initial measurement of the right-of-use asset is:

	CU
Initial lease liability (W)	479,126
Deposit	10,000
Legal fees	<u>5,000</u>
Initial measurement of the right-of-use asset	<u>494,126</u>

WORKING

Initial lease liability

The initial lease liability is calculated as the present value of future lease payments:

Year		CU
1	120,000/1.08	111,111
2	120,000/1.08 ₂	102,881
3	120,000/1.08 ₃	95,260
4	120,000/1.08 ₄	88,204
5	120,000/1.08 ₅	81,670
		<u>479,126</u>

6 Pont Ltd

6.1 Right-of-use asset

	CU
Initial lease liability (PVFLP)	973,263
Add lease payment made on commencement date	125,000
Less incentive	(5,000)
Add legal fees	2,500
Add deposit	<u>15,000</u>
Right-of-use asset	<u>1,110,763</u>

Depreciation over 10 years (the period of the lease and the useful life are the same) is CU111,076 pa

Carrying amount of right-of-use asset at 31 December 20X6 is CU999,687 (CU1,110,763 - CU111,076)

6.2 Lease liability at 31 December 20X6

	CU
	973,263
Interest at 3%	<u>29,198</u>
Lease liability at 31 December 20X6	<u>1,002,461</u>

Note: There is no lease payment deducted when calculating the lease liability at 31 December 20X6, as lease payments are made in advance. The first lease payment made on 1 January 20X6 does not form part of the liability. In subsequent years the lease payment will form part of the calculation.

7 Snow plc

7.1 Snow machine

Lease liability

Year	Balance b/f CU	Finance cost @ 5%	Lease Payment CU	Balance c/f CU
		CU		
20X1	151,531	7,577	(35,000)	124,108

Right-of-use asset

CU

Initial lease liability (PVFLP)	151,531
Less lease incentive	(3,000)
Initial right-of-use asset	148,531
Less depreciation (148,531/5 years)	(29,706)
Carrying amount 31 December	118,825

7.2 Right-of-use asset relating to rights retained

$$\begin{aligned}
 \text{Right-of-use asset} &= \text{carrying amount} \times \text{PVFLP/FV} \\
 &= \text{CU}5.2\text{m} \times \text{CU}4.2/\text{CU}6\text{m} \\
 &= \text{CU}3.64\text{m}
 \end{aligned}$$

7.3 Snow plc should recognise a gain or loss on the rights transferred to Slush plc. This is calculated as:

$$\begin{aligned}
 \text{Gain/loss on rights transferred} &= \text{total gain} - \text{gain related to rights} \\
 \text{retained sale Gain on rights transferred} &= 0.8\text{m (W1)} - 0.56\text{m (W2)} = \\
 &= \text{CU}0.24\text{m}
 \end{aligned}$$

WORKINGS

(1) Total gain

$$\begin{aligned}
 \text{Total gain} &= \text{fair value of asset} - \text{carrying amount of asset} = \text{CU}6\text{m} - \text{CU}5.2\text{m} = \\
 &= \text{CU}0.8\text{m}
 \end{aligned}$$

(2) Gain related to rights retained

$$\begin{aligned}
 \text{Gain related to rights retained} &= \text{total gain} \times \text{PVFLP/FV} = 0.8\text{m} \times 4.2\text{m}/6\text{m} = \\
 &= \text{CU}0.56\text{m}
 \end{aligned}$$

8 Feeney plc

8.1 The key terms 'relevant', 'faithful representation', and 'understandable' are concerned with the quality of financial information as discussed in the *Conceptual Framework*. They can be applied to IFRS 16 as follows.

- **Relevant.** Information is relevant if it can influence the economic decisions of users. This is achieved if the information has a confirmatory or predictive value or both. Under IFRS 16, lessees are required to recognise a liability representing future amounts payable under a lease. This information allows users of financial

statements to predict the future level of cash flows and the company's ability to pay the amounts relating to leases undertaken by the company. Disclosures required by IFRS 16 will help users see when the leases are up for renegotiation. It will provide important information regarding the gearing of the company for other potential lenders or investors.

- **Faithful representation.** This means that information represents the economic phenomena that it purports to represent, ie, all the rights and liabilities arising from a transaction must be identified and assessed (also showing the completeness of transactions undertaken by the company). IFRS 16 requires disclosure of the company's right to use an asset (right-of-use assets must be disclosed on the face of the statement of financial position or detailed within a note) which reflect the organisation's ability to benefit from the use of an asset, as well as the corresponding lease liability. By showing the faithful representation of leases, companies are forced to bring debt onto the statement of financial position.
- **Understandable.** Although some users might assume that the assets in the statement of financial position are owned by the company, IFRS 16 requires a separate disclosure for 'right-of-use' assets, clearly defining them from owned assets.

8.2 Under IFRS 16, a contract is deemed to contain a lease if it conveys the right to control the use of the underlying asset for a period of time, in return for consideration. There are three key elements which need to be demonstrated in order for a contract to contain a lease:

- right to control the asset
- an identified asset
- period of time

The right to control the use of an identified asset depends on the lessee having

- the right to obtain substantially all economic benefits from the use of the asset;
- the right to direct how and for what purpose the asset is used during the whole of its period of use

The identified asset must be stated in the contract

- the asset must be specified in the lease; and
- may only be part of an asset (such as part of an office facility).

The supplier cannot substitute the asset for an equivalent during the lease, otherwise the lessee is not deemed to have the right to use an identified asset. For example, a school may lease a minibus, if it has access to the same minibus and it can direct its use, then it is deemed to be an identified asset. If the school has access to a minibus, one which is provided by the lease company of a minimum standard, but which may be substituted at any time (maybe the school has specified access to a 14-seater minibus, but it may be blue or red, depending on what the lessor has available at the time), this would not meet the definition of an identified asset

The contract must cover a set period of time

- A period of time, such as years; or
- Based upon the production of the asset, such as number of units produced.

The lease may only be for a portion of the term of the contract (if the right to control the asset exists for part of the term), but it is still a defined period of time nonetheless.

9 Frazzled plc

9.1 Delivery truck

Lease liability	CU
Initial measurement of lease liability	83,286
Interest 6%	4,997
Paid 30 Sept 20X6	<u>(18,000)</u>
Balance 30 Sept 20X6	70,283
Interest 6%	4,217
Paid 30 Sept 20X7	<u>(18,000)</u>
Balance c/f at 30 Sept 20X7	<u><u>56,500</u></u>

Amount to be included in non-current liabilities at 30 Sept 20X6 = balance c/f at 30 Sept 20X7 = CU56,500

Right-of-use asset

	CU
Initial measurement of the liability	83,286
Depreciation charge for the year ended 30 September 20X5: 83,286/10 (depreciated over the useful life rather than the lease term due to the purchase option expected to be exercised).	<u>(8,329)</u>
Carrying amount at 30 September 20X6	<u>74,957</u>

Amount to be included in non-current assets at 30 Sept 20X6

= carrying amount of right-of-use asset = CU74,957

9.2 Crane

	CU
Present value of the future lease payments (W)	481,481
Payment on commencement of the lease	270,000
Incentive received	<u>(17,500)</u>
Initial measurement of right-of-use asset	<u>733,981</u>

Calculation of depreciation over three-years, which is both the lease term and the useful life.

733,981/3 years = CU244,660

Carrying amount at 30 September 20X6 = CU489,321

WORKING

Present value of future lease payments

	CU
Second payment: 270,000 / 1.08	250,000
Third payment: 270,000 / 1.08 ²	<u>231,481</u>
Present value of the future lease payments	481,481

- 9.3 Frazzled plc should recognise a gain on the rights transferred in respect of the building
Gain on rights transferred = total gain - gain on rights retained

$$\text{Gain on rights transferred} = 1,200,000 \text{ (W1)} - 1,051,404 \text{ (W2)} = \underline{\text{CU148,596}}$$

WORKINGS

(1) Total gain

$$\text{Total gain} = 4,000,000 - 2,800,000 = \text{CU1,200,000}$$

(2) Gain on rights retained

$$\text{Gain on rights retained} = 1,200,000 \times 3,504,680 / 4,000,000 = \text{CU1,051,404}$$

- 9.4 Frazzled plc may elect to apply the IFRS 16 recognition exemption to this contract on the basis that the laptops are individually of low value when new. If this election is made, lease payments are recognised in profit or loss over the lease term on a straight-line basis.